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CONCEPT AND PRE-GST PROBLEM

- GST = destination-oriented tax on supply, implemented through Union and State laws.
- Pre-GST: manufacture + service + sale + entry taxes fragmented credit.
- Cascading and border friction required constitutional, not merely statutory, repair.
- Answer line: pooled sovereignty created a credit-linked common market.

02

101ST AMENDMENT SURGERY

- 2016: inserted Articles 246A, 269A and 279A; amended 270, 286 and 366.
- Article 268A service-tax route omitted; Seventh Schedule tax entries altered.
- Article 366(12A): GST on supply, excluding alcoholic liquor for human consumption.
- Amendment enables architecture; Acts and notifications create operative liability.

03

COMPETENCE, FLOW AND TERRITORIAL LIMIT

- 246A: Parliament + States legislate GST; Parliament exclusive for inter-State.
- 269A: Union levies/collects inter-State GST; imports deemed inter-State.
- Place-of-supply + apportionment support destination revenue.
- 270 distributes relevant GST; 286 limits State tax on outside/import-export supplies.

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04

COUNCIL COMPOSITION

- Article 279A forum: Union Finance Minister chairs.
- Union MoS Revenue/Finance + one finance/tax or nominated minister per State.
- State members choose Vice-Chairperson and period.
- Revenue Secretary/CBIC Chair support; they are not constitutional voting members.

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RECOMMENDATIONS AND PETROLEUM

- 279A(4): subsumed levies, taxable/exempt supplies, model laws, thresholds and rates.
- Also place of supply, disaster rate, specified-State provisions and other GST matters.
- 279A(5): Council recommends date for crude, HSD, petrol, natural gas and ATF.
- Alcohol excluded; petroleum deferred: never merge the categories.

06

QUORUM, VOTE AND CONSENSUS

- Quorum 1/2 total members | Union 1/3 | States together 2/3.
- Decision $\geq$ 3/4 weighted votes present and voting.
- Neither level can pass alone; Union blocking power is arithmetic, not express veto.
- Consensus is usual practice; vacancy/defect protection cannot cure missing majority.

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DUAL GST, ITC AND GSTN

- Intra-State: CGST + SGST/UTGST | inter-State/import: IGST.
- ITC offsets eligible input tax against output liability; restrictions remain.
- Destination principle uses place-of-supply, credit and settlement.
- GSTN is technology infrastructure, not Council, legislature or adjudicator.

08

RECOMMENDATION TO LAW

- Council recommendation -> Parliament/State legislation -> authorised notification.
- Administration applies; GSTAT/courts review statutory legality.
- Press release != tax liability; verify Gazette instrument and effective date.
- Mohit non-binding rule does not excuse breach of a statutory recommendation condition.

09

BOUNDARIES AND COMPENSATION

- Alcohol excluded | petroleum deferred | tobacco within GST + Union excise.
- Electricity duty and stamp duty remain separate fields.
- Compensation Act: 2015-16 base + 14% projection + cess-funded five-year gap.
- Protected entitlement ended 30 June 2022; later cess loan servicing is separate.

MOHIT AND DISPUTE ROUTES

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MOHIT AND DISPUTE ROUTES

- Mohit Minerals (2022): recommendations persuasive, not binding on legislatures.
- Article 246A simultaneous power; cooperative federalism through dialogue.
- Ocean-freight levy failed in CIF composite-supply/statutory vires setting.
- 279A(11) intergovernmental mechanism != taxpayer appeal before GSTAT.

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INSTITUTIONS AND REFORM

- Council recommends | legislatures enact | CBIC/States administer | GSTN enables.
- GSTAT hears statutory appeals | Finance Commission advises devolution/grants.
- Reforms: reasons, modelling, notification tracker, cess accounts, small-firm support.
- Current examples must be official, dated and never converted into a rate catalogue.

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TRAPS AND ANSWER SPINE

- TRAPS: 122nd Bill/101st Act | 1/2-1/3-2/3-3/4 | alcohol/petroleum.
- TRAPS: recommendation/law | GSTN/GSTAT/Council | compensation/cess.
- ANSWER: define -> Article -> mechanism -> evidence -> analysis -> qualification.
- VERDICT: persuasive coordination + valid law + transparent federal trust.